

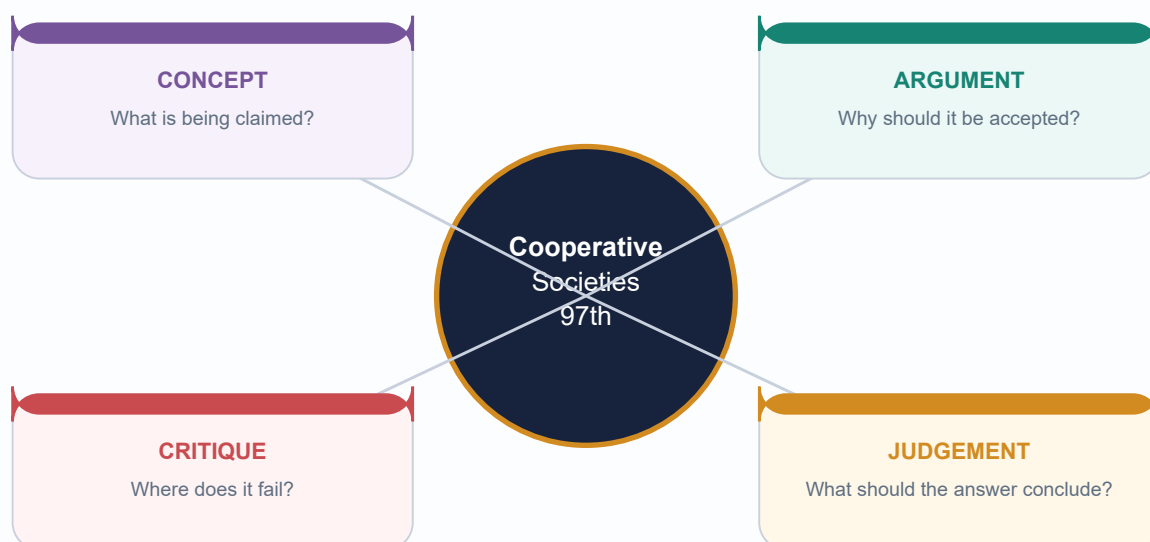
UPSC GS-II POLITY

Cooperative Societies and the 97th Constitutional Amendment

Integrated Basic + Advanced Course

10 deep-learning modules | 2011 Amendment to the 2021 Supreme Court Verdict
Constitutional design, federal boundaries, the Rajendra N. Shah verdict and Ministry of Cooperation reforms

Prepared from the verified Polity knowledge base and the completed guided session



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

1. Cooperatives Before 2011: A State Subject Under Strain

GS-II Polity -
Federalism and
Local Institutions

NEWS TRIGGER

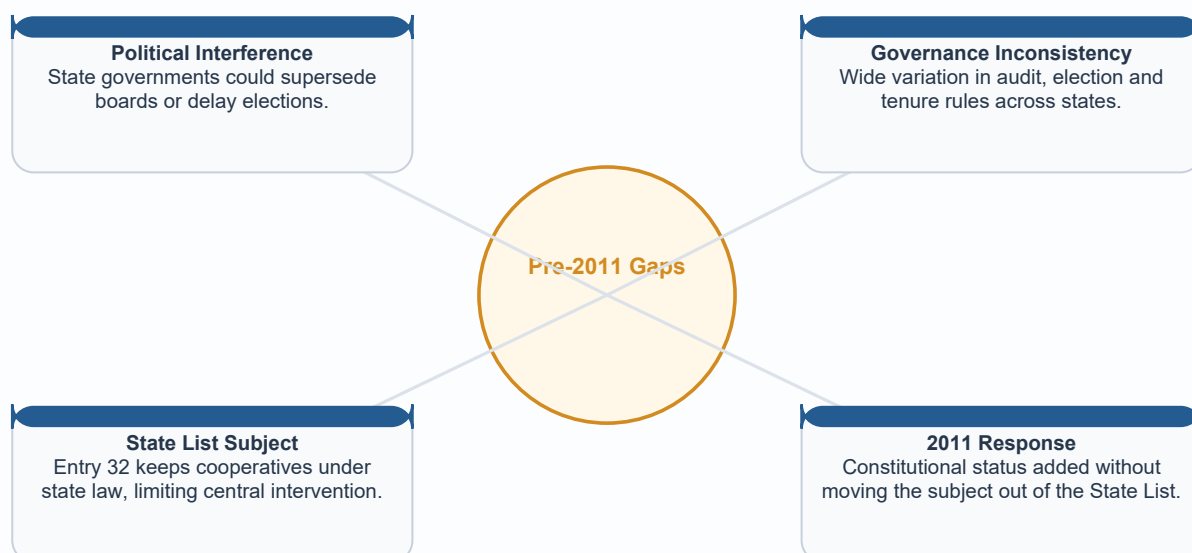
Recurring complaints of political interference in cooperative banks and credit societies keep alive the original rationale for the 97th Constitutional Amendment: protecting cooperatives from arbitrary state control.

INTRO & ORIGIN

Cooperative societies fall under Entry 32 of the State List, so their formation, regulation and winding-up were historically governed entirely by separate state cooperative laws. This produced wide variation in governance quality, frequent delays in board elections, weak audit discipline and susceptibility to political interference.

The 97th Constitutional Amendment Act, 2011 was enacted to give cooperative societies constitutional status and protection for the first time, without shifting the subject out of the State List.

WHY COOPERATIVES NEEDED CONSTITUTIONAL PROTECTION



KEY DATA

Governance Gap (pre-2011)	Constitutional Response (2011)
No fundamental right protecting the right to form cooperatives	Article 19(1)(c) amended to include cooperative societies
No constitutional directive to promote cooperatives	New Directive Principle, Article 43-B, added
No uniform norms for board tenure, elections or audit	New Part IX-B (Articles 243-ZH to 243-ZT) inserted

STATIC THEORY

- Cooperative societies remained a State List (Entry 32) subject both before and after 2011; the amendment added a constitutional floor of governance, not a shift of legislative competence.
- The absence of uniform norms before 2011 meant that political executives in different states could delay elections or supersede cooperative boards with few constitutional checks.

MEMORY HOOK

Cooperatives stayed a STATE subject; the 97th Amendment added a CONSTITUTIONAL floor, not a Central takeover.

MUST-KNOW FACTS

1. Cooperative societies are placed under Entry 32 of the State List.
2. The 97th Constitutional Amendment Act was enacted in 2011.
3. The amendment added a Fundamental Right, a Directive Principle and a new constitutional Part in a single amendment.
4. The Union-State legislative distribution over cooperatives was not altered by the amendment.

UPSC TRAPS

WRONG: The 97th Amendment moved cooperative societies to the Union List.

CORRECT: Cooperatives remain a State List (Entry 32) subject; only constitutional protection was added.

MAINS ANGLE

Frame the 97th Amendment as an attempt to constitutionalise good-governance norms for a State-subject institution without altering the federal distribution of legislative power.

STUDY LINK

Polity -> Federalism -> Seventh Schedule -> State List, Entry 32

HIGH**2. Three Changes in One Amendment**

**GS-II Polity -
Constitutional
Amendments**

NEWS TRIGGER

Questions distinguishing a Fundamental Right from a Directive Principle frequently use the 97th Amendment as a worked example, since it added one of each in a single amendment.

THE 97TH CONSTITUTIONAL AMENDMENT, 2011**97th Amendment, 2011**

Fundamental Right Article 19(1)(c) amended to add the right to form cooperative societies.	Directive Principle New Article 43-B directs the State to promote voluntary, autonomous, democratic and professionally managed cooperatives.
New Constitutional Part Part IX-B, Articles 243-ZH to 243-ZT, added for cooperative governance.	

KEY DATA

Change	Article	Nature	Purpose
Fundamental Right	Art 19(1)(c)	Justiciable right	Right to form cooperative societies, alongside associations and unions
Directive Principle	Art 43-B	Non-justiciable guiding principle	Promotion of voluntary, autonomous, democratic and professionally managed cooperatives
New Part	Part IX-B (243-ZH to 243-ZT)	Detailed governance framework	Democratic, professional, autonomous and economically sound functioning

STATIC THEORY

- Part IX-B was designed to ensure cooperatives function in a democratic, professional, autonomous and economically sound manner - the exact standard used in the Directive Principle under Article 43-B.
- Article 19(1)(c) already protected the right to form associations and unions; the 97th Amendment simply extended the same fundamental-right protection to cooperative societies.

MEMORY HOOK

FR 19(1)(c) = right to FORM; DPSP 43-B = duty to PROMOTE; Part IX-B = duty to GOVERN well.

MUST-KNOW FACTS

1. Article 19(1)(c) was amended to add cooperative societies as a fundamental right.
2. Article 43-B is a new Directive Principle of State Policy.
3. Part IX-B spans Articles 243-ZH to 243-ZT.

UPSC TRAPS

WRONG: Article 43-B is a Fundamental Right.

CORRECT: It is a Directive Principle of State Policy; the Fundamental Right is Article 19(1)(c).

MAINS ANGLE

Use this triad of changes to argue that constitutional design combined a justiciable right, an aspirational directive and a detailed operational framework in a single amendment.

STUDY LINK

Polity -> Fundamental Rights -> Article 19 -> Freedom of Association

HIGH

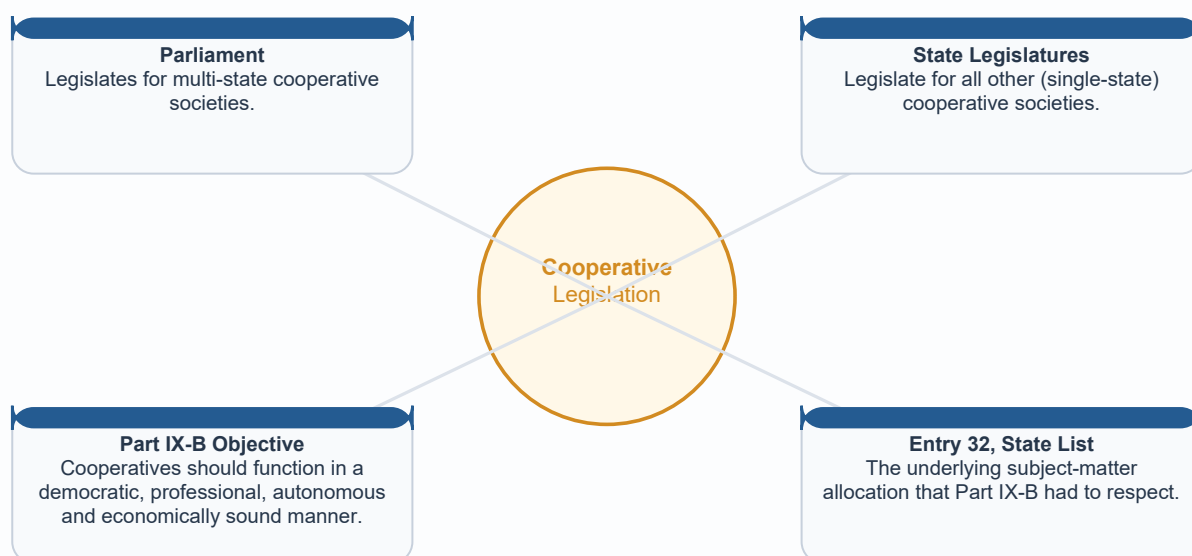
3. Part IX-B and the Federal Division of Legislative Power

GS-II Polity -
Federal
Legislative
Competence

NEWS TRIGGER

The split between Parliament's and State Legislatures' authority over cooperative societies is a recurring exam angle on how a constitutional amendment can operate within an unaltered federal structure.

LEGISLATIVE COMPETENCE OVER COOPERATIVES



KEY DATA

Type of Cooperative	Competent Legislature
Multi-state cooperative society	Parliament
Single-state (other) cooperative society	State Legislature

STATIC THEORY

- Part IX-B did not alter the Entry 32 allocation itself; it added governance standards that were meant to apply regardless of which legislature enacted the underlying cooperative law.
- The Parliament-versus-State-Legislature split anticipates the very federalism question the Supreme Court would later examine in the Rajendra N. Shah case.

MEMORY HOOK

MULTI-STATE cooperatives fall to Parliament; **SINGLE-STATE** cooperatives fall to the States.

MUST-KNOW FACTS

1. Parliament legislates for multi-state cooperative societies.
2. State Legislatures legislate for other (single-state) cooperative societies.
3. Part IX-B aims at democratic, professional, autonomous and economically sound functioning.

UPSC TRAPS

WRONG: Part IX-B gives Parliament exclusive power over all cooperative societies.

CORRECT: Parliament's competence is limited to multi-state cooperatives; States retain competence over the rest.

MAINS ANGLE

Explain how Part IX-B tried to introduce uniform governance standards while preserving the existing Union-State legislative split over cooperatives.

STUDY LINK

Polity -> Seventh Schedule -> Union-State legislative competence

HIGH**4. Governance Features Inside Part IX-B**

GS-II Polity -
Institutional
Procedure

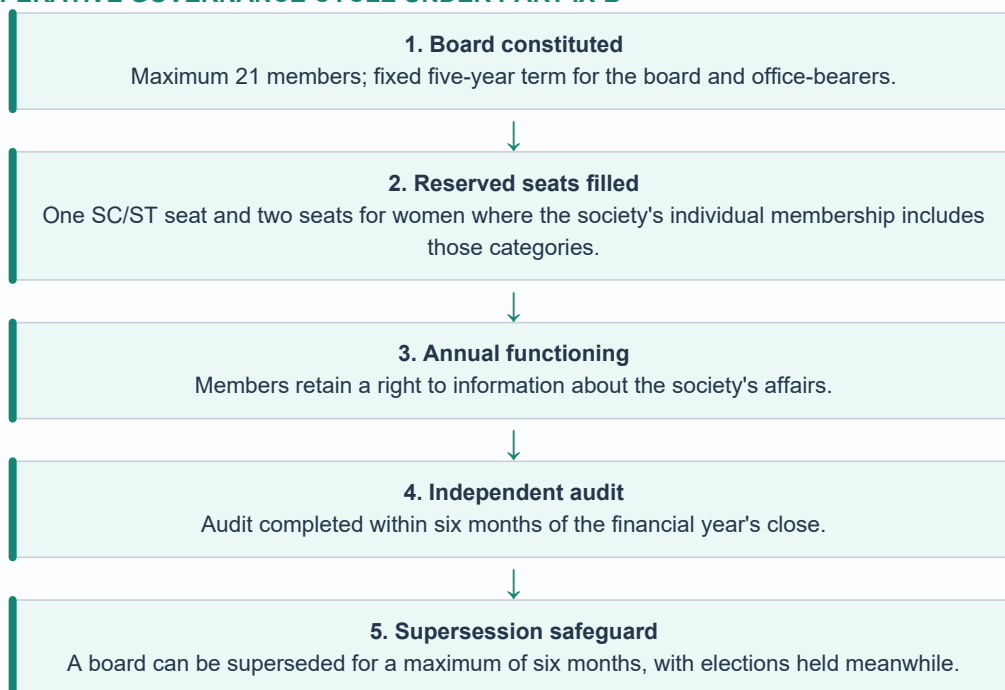
NEWS TRIGGER

Disputes over prolonged supersession of cooperative boards make the six-month supersession cap under Part IX-B a frequently cited procedural safeguard.

KEY DATA

Feature	Rule
Board size	Maximum 21 members
Term	Fixed 5-year term for board and office-bearers
Reservation	One SC/ST seat and two women's seats, where applicable
Audit timeline	Completed within 6 months of financial-year close
Maximum supersession	6 months, with elections conducted during this period
Member right	Right to information about the society

THE COOPERATIVE GOVERNANCE CYCLE UNDER PART IX-B



STATIC THEORY

- The fixed 5-year term and the 6-month cap on supersession together limit the scope for prolonged administrator control of a cooperative board by state authorities.
- The reservation of one SC/ST seat and two women's seats applies specifically where the society's individual membership includes those categories, not as a blanket universal rule.

MEMORY HOOK

21 members max, 5-year term, 6-month audit deadline, 6-month maximum supersession - remember the pattern of limits.

MUST-KNOW FACTS

1. The board of a cooperative society under Part IX-B can have a maximum of 21 members.
2. The board and office-bearers have a fixed five-year term.
3. Audit must be completed within six months of the close of the financial year.
4. Supersession of a board is capped at six months, with elections held during that period.

UPSC TRAPS

WRONG: A cooperative board can be superseded indefinitely by the state government.

CORRECT: Supersession is capped at a maximum of six months under Part IX-B.

MAINS ANGLE

Discuss how the procedural safeguards in Part IX-B were designed to curb political misuse of supersession powers over cooperative boards.

STUDY LINK

Polity -> Panchayati Raj -> comparable safeguards under Part IX (73rd Amendment)

HIGH

5. The Rajendra N. Shah Case, 2021: Constitutional Challenge

GS-II Polity -
Judicial Review
of Amendments

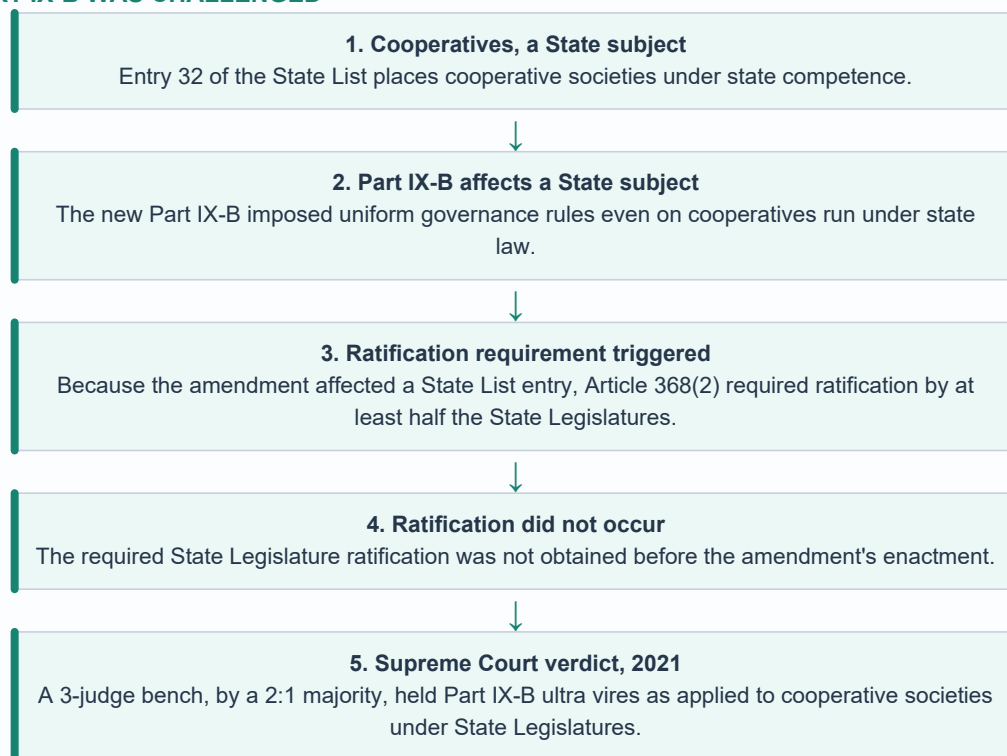
NEWS TRIGGER

The 2021 Supreme Court verdict on Part IX-B remains one of the clearest recent examples of a constitutional amendment being partly invalidated for procedural non-compliance under Article 368.

KEY DATA

Element	Detail
Case	Union of India v. Rajendra N. Shah (2021)
Bench	3-judge bench, 2:1 majority
Ground of challenge	Part IX-B affects a State List (Entry 32) subject without the Article 368(2) ratification
Holding	Part IX-B held ultra vires for cooperative societies under State Legislatures

HOW PART IX-B WAS CHALLENGED



STATIC THEORY

- Article 368(2) requires ratification by at least half the State Legislatures for amendments that affect specified federal provisions, including the distribution of legislative powers between the Union and the States.
- Because Part IX-B imposed governance conditions on cooperatives falling within the exclusive State List, the Court held that this amendment needed such ratification, which had not been obtained.

MEMORY HOOK

NO ratification by half the states means Part IX-B falls for STATE cooperatives.

MUST-KNOW FACTS

1. The Supreme Court decided *Union of India v. Rajendra N. Shah* in 2021.
2. The bench was 3 judges, deciding 2:1.
3. Part IX-B was held ultra vires for its application to cooperative societies under State Legislatures, for want of Article 368(2) ratification.

UPSC TRAPS

WRONG: The entire 97th Amendment was struck down in 2021.

CORRECT: Only Part IX-B's application to state cooperative societies was struck down; the Fundamental Right and the Directive Principle survive intact.

MAINS ANGLE

Examine the constitutional requirement of state ratification under Article 368(2) as a federal safeguard against unilateral central encroachment on State List subjects.

STUDY LINK

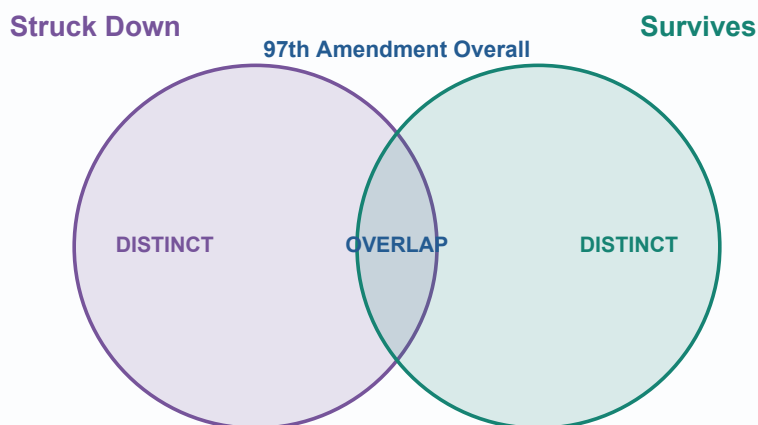
Polity -> Article 368 -> special (state-ratified) amendment procedure

HIGH**6. Doctrine of Severability: What Survives**

GS-II Polity -
Judicial Review
Techniques

NEWS TRIGGER

The 2021 verdict is a leading recent illustration of the doctrine of severability, under which courts strike down only the unconstitutional application of a provision rather than the provision as a whole.

WHAT THE 2021 VERDICT STRUCK DOWN AND WHAT SURVIVES**Struck Down**

- Part IX-B's application to cooperative societies under State Legislatures

97th Amendment Overall

- Constitutional recognition of cooperatives introduced in 2011
- Doctrine of severability applied by the Supreme Court

Survives

- Article 19(1)(c) - the Fundamental Right
- Article 43-B - the Directive Principle
- Part IX-B for multi-state cooperative societies and Union Territories

The Supreme Court severed the unconstitutional application of Part IX-B to state cooperatives while preserving it for multi-state cooperatives, and left Articles 19(1)(c) and 43-B entirely untouched.

STATIC THEORY

- The doctrine of severability allows a court to strike down only the offending part or application of a law, preserving the rest, where the valid and invalid portions are separable without disturbing the law's overall scheme.
- Because Part IX-B's core purpose (democratic, professional, autonomous cooperative governance) could still operate for multi-state cooperatives, the Court did not need to invalidate the whole Part.

MEMORY HOOK

STATE cooperatives lose Part IX-B; **MULTI-STATE** cooperatives keep it; the Fundamental Right and Directive Principle survive untouched.

MUST-KNOW FACTS

1. The Supreme Court applied the doctrine of severability in the 2021 verdict.
2. Part IX-B continues to apply to multi-state cooperative societies and Union Territories.
3. Articles 19(1)(c) and 43-B remain valid in full after the 2021 verdict.

UPSC TRAPS

WRONG: Part IX-B is completely inoperative after the 2021 verdict.

CORRECT: It survives for multi-state cooperative societies and Union Territories.

MAINS ANGLE

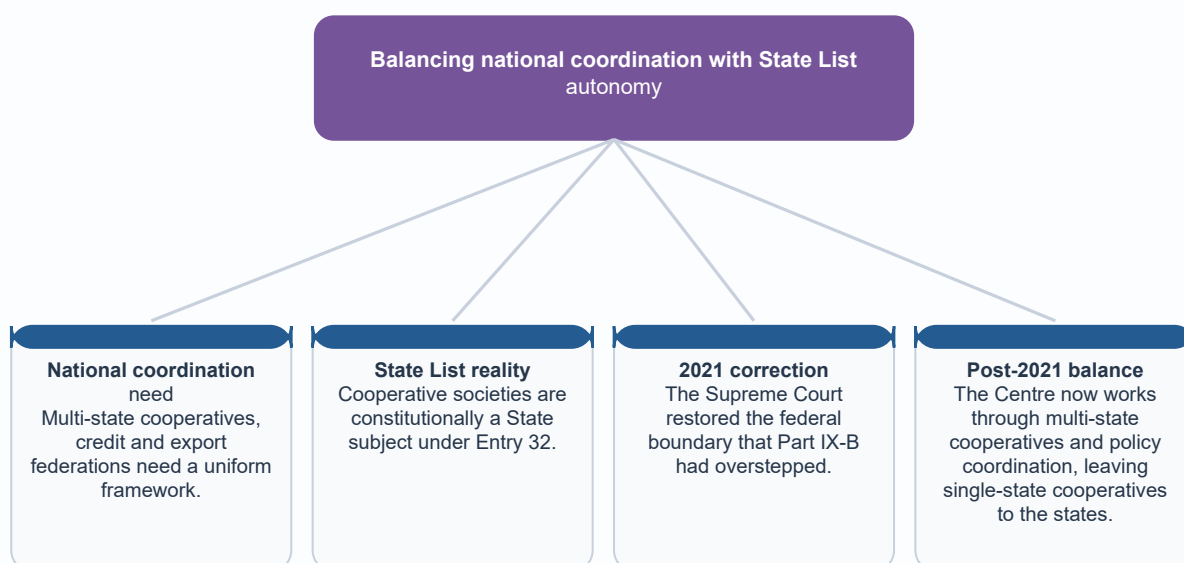
Discuss judicial techniques such as severability that preserve a constitutional amendment partially rather than voiding it wholesale.

STUDY LINK

Polity -> Judicial Review -> Doctrine of Severability

HIGH**7. Cooperative Federalism: The Underlying Tension**GS-II Polity -
Federalism**NEWS TRIGGER**

The tension between a national vision for cooperative reform and the states' constitutional autonomy over cooperatives keeps resurfacing whenever new central cooperative policy is announced.

COOPERATIVES NEED BOTH NATIONAL VISION AND STATE AUTONOMY**STATIC THEORY**

- The 2021 verdict reasserts that federal principles constrain even a popular reform when it encroaches into a State List subject without following the Article 368(2) ratification procedure.
- Cooperative federalism, in this context, means pursuing national coordination through instruments (multi-state legislation, ministries, national bodies) that do not require reopening the State List allocation.

MEMORY HOOK

Cooperative federalism means national coordination WITHOUT erasing state legislative competence.

MUST-KNOW FACTS

1. Cooperative societies remain a State List (Entry 32) subject after the 2021 verdict.
2. The Centre's post-2021 tools operate through multi-state cooperative legislation and policy coordination rather than a repeat constitutional imposition.

UPSC TRAPS

WRONG: The 2021 verdict ended all central involvement in cooperative governance.

CORRECT: Central involvement continues through multi-state cooperative legislation and national coordination bodies.

MAINS ANGLE

Co-operatives are State subjects but need national vision. Examine the 97th Amendment and the 2021 Supreme Court verdict through the lens of federalism.

STUDY LINK

Polity -> Cooperative Federalism -> GST Council and Inter-State Council comparisons

HIGH**8. Ministry of Cooperation and Post-2021 Reforms**

GS-II Polity -
Institutional
Reform

NEWS TRIGGER

The creation of a dedicated Ministry of Cooperation and the 2023 amendment to the Multi-State Co-operative Societies Act mark the two biggest post-verdict reform steps in this sector.

INTRO & ORIGIN**TIMELINE**

Jul 2021 — Ministry of Cooperation created, with Amit Shah as the first minister; motto 'Sahakar se Samridhi'.

2023 — Multi-State Co-operative Societies (Amendment) Act, 2023 creates a Co-operative Election Authority and a Rehabilitation, Reconstruction and Development Fund.

Post-2023 — New national bodies established: NCOL (organics), NCEL (exports), BBSSL (seeds); PACS computerisation drive continues.

KEY DATA

Reform	Year	Purpose
Ministry of Cooperation	2021	Dedicated ministry for the cooperative sector, separated from the Agriculture Ministry
MSCS (Amendment) Act	2023	Co-operative Election Authority; Rehabilitation, Reconstruction and Development Fund
NCOL / NCEL / BBSSL	Post-2023	National cooperative bodies for organics, exports and seeds
PACS computerisation	Ongoing	Digitisation drive for Primary Agricultural Credit Societies

STATIC THEORY

- The Ministry of Cooperation was carved out in July 2021, moving cooperation out of the Agriculture Ministry into a dedicated administrative unit.
- The 2023 amendment strengthens governance and transparency through a dedicated Election Authority and a rehabilitation fund, operating through ordinary legislation rather than further constitutional change.

MEMORY HOOK

2021 brought a new **MINISTRY**; 2023 brought a new **LAW** (the MSCS Amendment); afterwards came new **BODIES** (NCOL, NCEL, BBSSL).

MUST-KNOW FACTS

1. The Ministry of Cooperation was created in July 2021, with Amit Shah as its first minister.
2. The Multi-State Co-operative Societies (Amendment) Act, 2023 created a Co-operative Election Authority and a Rehabilitation, Reconstruction and Development Fund.
3. NCOL, NCEL and BBSSL are new national cooperative bodies established after 2023.

UPSC TRAPS

WRONG: Cooperation has always been administered by a dedicated Ministry of Cooperation.

CORRECT: It was earlier under the Ministry of Agriculture; the dedicated Ministry was created only in July 2021.

MAINS ANGLE

The new Ministry of Cooperation: reviving the co-operative movement or centralising a State subject? Examine governance deficits in cooperatives and the reforms under the 2023 Amendment.

STUDY LINK

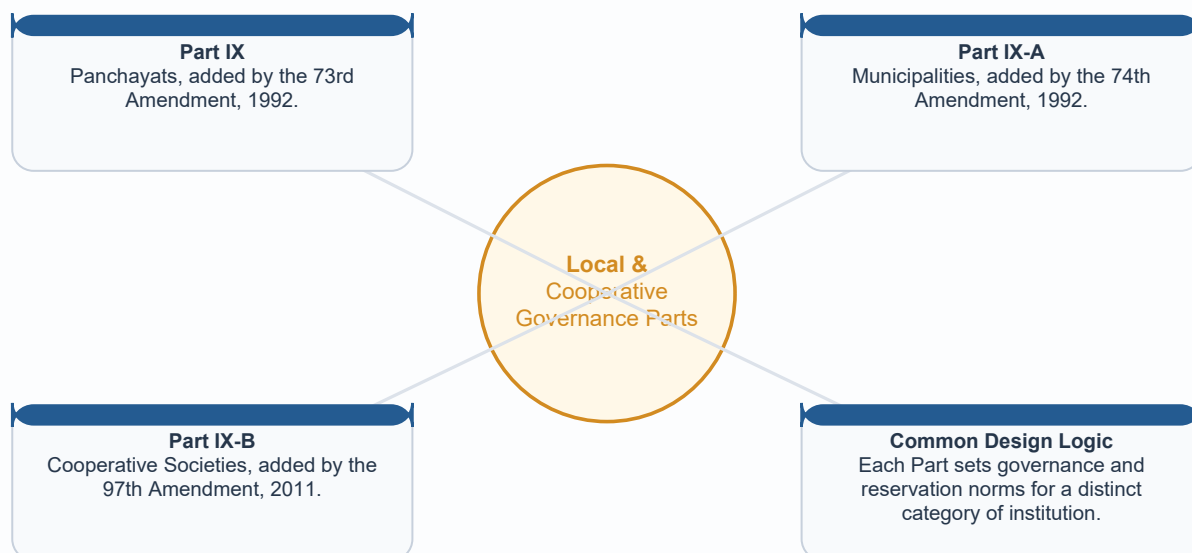
Economy -> Agricultural Credit -> PACS and rural cooperative credit structure

HIGH**9. Part IX-A vs Part IX-B: The Comparison UPSC Tests**

GS-II Polity -
Local
Self-Government
Comparisons

NEWS TRIGGER

Mixing up the constitutional Parts dealing with Municipalities and Cooperative Societies is one of the most common errors in objective-format questions on local self-government.

CONSTITUTIONAL PARTS IX, IX-A AND IX-B AT A GLANCE

KEY DATA

Feature	Part IX-A	Part IX-B
Subject	Municipalities	Cooperative Societies
Amendment	74th Constitutional Amendment Act, 1992	97th Constitutional Amendment Act, 2011
Articles	243-P to 243-ZG	243-ZH to 243-ZT
2021 SC status	Not affected by Rajendra N. Shah	Struck down for state cooperatives; survives for multi-state cooperatives

STATIC THEORY

- Part IX (Panchayats) and Part IX-A (Municipalities) were both added by 1992 amendments and were not affected by the Rajendra N. Shah verdict, which concerned only Part IX-B.
- Part IX-B is textually and chronologically the most recent of the three, inserted nearly two decades after Parts IX and IX-A.

MEMORY HOOK

Part IX-A is MUNICIPALITIES (74th Amendment); Part IX-B is COOPERATIVES (97th Amendment) - do not swap the letters.

MUST-KNOW FACTS

1. Part IX-A deals with Municipalities, added by the 74th Amendment, 1992.
2. Part IX-B deals with Cooperative Societies, added by the 97th Amendment, 2011.
3. Only Part IX-B was affected by the 2021 Supreme Court verdict.

UPSC TRAPS

WRONG: Part IX-A deals with cooperative societies.
CORRECT: Part IX-A deals with Municipalities; Part IX-B deals with Cooperative Societies.

MAINS ANGLE

Compare the institutional design choices across Parts IX, IX-A and IX-B as three successive attempts to constitutionalise local and cooperative self-government.

STUDY LINK

Polity -> Local Self-Government -> Parts IX, IX-A, IX-B comparison

HIGH**10. Mains Framework: Federalism, Autonomy and Reform**

GS-II Polity -
Answer-Writing
Framework

NEWS TRIGGER

A structured framework linking the 97th Amendment, the 2021 verdict and post-2021 reforms is essential for any Mains answer combining constitutional law with cooperative federalism.

MAINS FRAMEWORK: EVALUATE THE 97TH AMENDMENT AND THE 2021 VERDICT



KEY DATA

Confusable Pair	Correct Distinction
97th Amendment struck down entirely vs partially	Only Part IX-B's application to state cooperatives was struck down; the FR and DPSP survive
Part IX-A vs Part IX-B	IX-A is Municipalities (74th Amendment); IX-B is Cooperatives (97th Amendment)
Union List vs State List for cooperatives	Cooperatives remain a State List, Entry 32, subject throughout

STATIC THEORY

- A complete Mains answer should move through five steps: define the 97th Amendment's three changes, cite the Rajendra N. Shah verdict, analyse the federal ratification requirement, link to post-2021 institutional reforms, and conclude on the balance between national vision and state autonomy.

MEMORY HOOK

DEFINE the 97th Amendment, **CITE** Rajendra N. Shah, **ANALYSE** the federal ratification issue, **LINK** to 2021-23 reforms, **CONCLUDE** on balance.

MUST-KNOW FACTS

- The 97th Amendment (2011) added Article 19(1)(c), Article 43-B and Part IX-B.
- The 2021 Rajendra N. Shah verdict struck down Part IX-B only for state cooperatives.
- The Ministry of Cooperation (2021) and the MSCS Amendment Act (2023) are the principal post-verdict reforms.

UPSC TRAPS

WRONG: Cooperative reform since 2021 has proceeded through further constitutional amendment.

CORRECT: It has proceeded through ordinary legislation (the 2023 MSCS Amendment Act) and new coordination bodies, not a fresh constitutional amendment.

MAINS ANGLE

Governance deficits in cooperatives (politicisation, mismanagement) and reforms under the 2023 Amendment; should reform proceed through ordinary legislation or renewed constitutional change?

STUDY LINK

Polity -> Full-Topic Revision -> 97th Amendment integrated framework

End of Register Notes — UPSC Agent / Copilot CLI